

“INVERTER MANUFACTURERS SHOULD KNOW THE BATTERY SIDE ALSO”



Luminous Power Technologies has a global presence delivering high-quality inverters, UPS, batteries and renewable energy products. To fuel the overseas expansion and exports, it has set up a state-of-the-art manufacturing facility in China in addition to manufacturing facilities in India.

Sunil Bhalla has been associated with Luminous for over 19 years. His contributions are in the areas of marketing & sales, strategic planning, HR, after-sales service, MIS, ERP and vendor development.

In a one-to-one interaction, Bhalla discussed with EFY's Uma Bansal the Indian inverter market and expansion plans of Luminous. Excerpts:

■ **SUNIL BHALLA**
DIRECTOR, LUMINOUS POWER TECHNOLOGIES

What are the annual sales of inverters in India?

The industry guestimate is 3-3.5 million per annum for both organised and unorganised players taken together. There are no organised figures available because nearly 50 per cent of this market is controlled by unorganised players.

What impact has recession had on sales?

Well, there was a bit of impact in the months of October, November and December last year because of the industry scenario *per se*, which is anyways a low season for the industry. Alongside there was economic slowdown and crash in commodity prices. So people weren't sure which way to go.

How has been the demand in rural areas?

In rural areas, penetration is low. Also, the largest part of population is living there. So comparative growth rate is higher in rural areas than urban areas. However, sales are growing even in urban areas. Demand is shifting from one segment of the society to second and then to third segment. First, early adopters were there, then followers and now lower segments are buying inverters.

How important is the batteries business to an inverter manufacturer?

Battery costs one-and-a-half times the inverter. So to gain a competitive edge in the market, inverter manufacturers should know the battery side also.

We are engaged in all stages from R&D till after-sales service. So we are able to design both the inverters and bat-

teries keeping in mind consumers' expectations.

Do inverter batteries really emit harmful gases?

There is no lead in fumes of even ordinary batteries. The fumes consist of gases like sulphur, sulphur dioxide and hydrogen. For a well-ventilated room it's not really a major issue. The SMF batteries that are being sold in the market for past two years are sold for hype but they are not the right solution for inverters. One has to look at giving the right solution to the customer.

What about lead spillage to the environment?

All batteries are environment-friendly if handled properly. They use lead, which is harmful to the environment, but if the batteries are recycled there is no lead spillage to the environment. So when a battery goes bad, it should go not to the local scrap handler but to the recycling plant where lead is recycled. We push traders to take back old batteries and pass on them to the third party for recycling.

Why did you choose China to set up your manufacturing plant?

In fact, we have three plants in India that are engaged in manufacturing of inverters, UPS and batteries. These plants make us the largest manufacturer in India in this category of products.

Our China plant is meant mainly for UPS used in computer applications. The purpose of opening it there was that the ecosystem for supply of parts of the components used in UPS is much better developed in China. Workforce there is very disciplined and productivity is high. As a result, the cost per unit *per se* is low. ●